

DOCUMENT 12 · TRANSFORMATION INDEX

Transformation index

How to know, with evidence, whether an initiative and a company are being transformed by AI or are merely becoming more efficient

Fernando García Varela Version 0.2 (working draft) 28-09-2026 Draft for review

5

classification
questions

8

observable signals

0–3

score per signal

5

company profiles

IN THIS DOCUMENT

01	Purpose and scope	08	Calibration in C5
02	Principle	09	Complete illustrative example
03	Ambition classification of an initiative	10	Presentation to the board
04	Company transformation index	11	Limitations
05	Profile assignment	12	Associated tools and templates
06	Treatment of "no data"	13	Related documents
07	Frequency and owners	14	Version control

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THE ESSENTIALS **Always mandatory**

Calculation of the company's transformation index at C1 and at each C5, with the base conditions and the eight signals; 'no data' never counts as evidence. The classification of each initiative's ambition (section 3) always applies.

Obligation matrix and layered reading (document 94)

Purpose and scope

This document develops section 5 of document 00. It defines two connected instruments:

1. **The ambition classification of each initiative** (Optimise, Augment or Transform): five questions, decision rules, treatment of borderline cases, owners and the cycle of proposed, confirmed and actual ambition.
2. **The company transformation index**: eight signals with formula, data source and a score from 0 to 3; baseline conditions; rules for assigning one of the five profiles; treatment of "no data"; frequency; calibration; a complete example and limitations.

It applies in phases 1, 2 and 7 of the lifecycle and in stages C1, C4 and C5 of the corporate cycle. The associated tools are the ambition classifier (T05) and the index calculator (T14); the evidence for the classification is documented with template P07.

All the numerical thresholds in this document are **initial and marked "to be calibrated"**. They do not come from market studies: they are reasonable starting points that each company reviews in C5 with its own data (section 8).

Principle

Efficiency and transformation **are not distinguished by technology**, but by **what changes in the business and where the value appears**. A generative AI agent that drafts responses faster is optimisation; a classical statistical model that makes it possible to launch a service with personalised pricing may be transformation.

The index is not a value judgement. **Efficiency is a legitimate outcome**, and many companies should start with it in order to fund their later bets. What SEVEN-G requires is that the choice be conscious, measured and made by the appropriate person (principle 9 of document 01). Above all, the index serves to detect one specific situation: **declared transformation that the signals do not confirm**.

Ambition classification of an initiative

3.1 The five questions

Each question is answered **yes** or **no**, with a brief justification and the available evidence. A yes answer without evidence is treated as **no** for classification purposes.

#	Question	What counts as yes	What does not count as yes	Points to
IT-P1	Does the value proposition received by the customer or end user change?	The customer receives something different: a new service, a benefit that did not exist before, a different mode of relationship or a price constructed in a different way.	The same service, faster, cheaper or with fewer errors.	Transform
IT-P2	Is the process redesigned end to end, and not just a task within the process?	The steps, decision points and handovers of the entire process change, from input to outcome.	One or more steps are automated or accelerated while the process design is maintained.	Augment or Transform
IT-P3	Do roles, the organisational structure or who makes which decisions change?	Jobs or teams are redesigned, or decisions previously made by people are made by systems (A2 or A3) with defined oversight, or people take on tasks they could not do before.	The number of people doing the same thing is reduced; a tool is delivered without changing the content of the job.	Augment or Transform
IT-P4	Does it generate revenue, services or markets that did not exist?	Revenue or customers coming from an offering, channel or market that would not exist without AI.	More sales of the existing offering through better conversion or retention.	Transform
IT-P5	Could it be retired without affecting the business model, simply reverting to the previous cost?	If it is switched off, the company carries on doing the same thing at the previous cost or time.	If it is switched off, an offering, a capability of people or a way of organising is lost.	Optimise

3.2 Decision rules

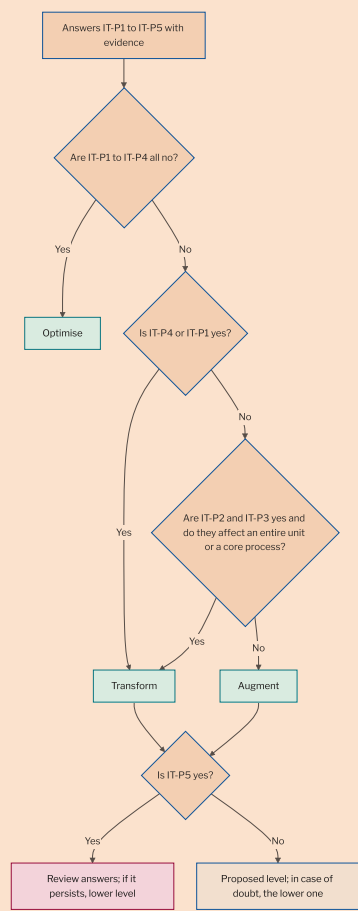
The rules are applied **in order**. The first one that is met determines the level, except for the cross-check rules (6 to 10), which always apply.

Rule	Condition	Result
1 • Optimise by default	IT-P1, IT-P2, IT-P3 and IT-P4 are no .	Optimise , regardless of how the initiative has been presented.

Rule	Condition	Result
2 · New revenue	IT-P4 is yes .	Transform.
3 · New value proposition	IT-P1 is yes .	Transform.
4 · New operating model	IT-P2 and IT-P3 are yes and the change affects an entire organisational unit or a core business process (not a partial support process).	Transform.
5 · Augmentation	IT-P2 or IT-P3 is yes and rule 4 is not met.	Augment.
6 · Cross-check with IT-P5	The result is Augment or Transform and IT-P5 is yes .	Inconsistency: the answers are reviewed. If it persists, the next lower level is assigned and the reason is recorded.
7 · Dependency in Optimise	The result is Optimise and IT-P5 is no .	The level does not change. It is checked whether the initiative supports a critical function (Enterprise criterion in document 01, section 9.2).
8 · Prudence in case of doubt	After applying the rules, reasonable doubt persists between two levels.	The lower level is assigned. Whoever proposes the higher level provides the evidence to resolve the doubt. The doubt does not lower the controls : if it affects an Enterprise criterion, Enterprise applies.
9 · Mixed initiatives	The initiative has components at different levels.	It is split into separate initiatives or classified according to the component that accounts for more than half of the investment. Levels are not averaged.
10 · Irrelevance of form	—	The level is not influenced by the technology (generative AI, agents), the amount of investment, the technical novelty or the name of the programme.

Ambition classification of an initiative

The rules are applied in order and cross-checked against question 5



Source: SEVEN-G

3.3 Borderline cases

Generic, illustrative examples.

Case	Classification	Reasoning
Generative AI assistant that drafts responses for the customer service team	Optimise	Same service, same role; saves time (IT-P1–IT-P4 no).
Copilot that enables analysts to review more complex transactions that were previously referred to specialists	Augment	The content of the job changes (IT-P3 yes); the business is the same.
Licences for an AI-enabled productivity suite for all employees	Optimise, unless a change of role is demonstrated	Without an adoption plan or job redesign, IT-P3 is no.

Case	Classification	Reasoning
Agent-based automation of an entire back-office process, with a headcount reduction and the same remaining jobs	Optimise	Reducing the number of people doing the same thing is not a change of role; if the process is redesigned (IT-P2 yes) but roles do not change, it would be Augment .
Redesign of the planning function: allocation decisions move to an A2 system and planners oversee exceptions	Transform (rule 4)	IT-P2 and IT-P3 yes across an entire unit. If it only affects part of planning, Augment .
AI-driven dynamic pricing for the existing offering	Augment or Transform	If the customer receives a new form of pricing (IT-P1 yes), Transform; if rates are merely adjusted within the current model, Augment (IT-P3: the decision moves to a system).
Paid service for customers based on a proprietary model	Transform (rule 2)	Revenue that did not exist (IT-P4 yes).
Common data platform for several initiatives	Optimise by default	It is classified by its own effect. It does not inherit the ambition of the initiatives it enables; its contribution is declared as a dependency.
Exploratory pilot of a new service idea	According to the hypothesis at scale	It is classified by what would change if it succeeded; the actual ambition is assessed at G7.
AI system for monitoring regulatory obligations (primary sphere 08)	Optimise as a general rule	It is classified like any other; its level does not qualify sphere 08 (document 10, section 4.2).

3.4 Proposed, confirmed and actual ambition

Status	When	What it represents	Evidence
Proposed	Phase 1	Level proposed by the team using the five questions on the opportunity.	P07 with answers and justification.
Confirmed	Phase 2 (G2)	Level verified against the value hypothesis: metrics, baseline and type of expected value consistent with the level.	Updated P07, P08.
Actual	Phase 7 (G7) and, where applicable, R6	Level demonstrated by the evidence in production.	P07 with evidence of results, P28, P30.

Criteria for recording the **actual ambition** (consistent with the G7 criteria in document 01, section 7.6):

Actual ambition	Minimum evidence
Transform	Validated return attributable to the initiative, or a verified change in the offering or the operating model (IT-P1, IT-P4 or rule 4 confirmed by facts).
Augment	Effective adoption equal to or above the target in the hypothesis, measured performance improvement and verified change of role or reassigned capacity.
Optimise	Any other case with measured value.

If the initiative is **stopped before G5**, no actual ambition is recorded: the confirmed ambition is retained and the stop counts in signal 7.

3.5 Who classifies, confirms and reviews

Moment	Proposes or records	Verifies	Decides	Remarks
Phase 1 · Proposal	AI Product Owner	AI Office (consistency of answers)	Sponsor, at G1	The event is recorded in T01.
Phase 2 · Confirmation (Lite)	AI Product Owner	AI Office	Sponsor, at G2	If the confirmed level is Transform, the intensity becomes Enterprise.
Phase 2 · Confirmation (Enterprise)	AI Product Owner	AI Auditor	AI Committee, at G2	Transform also requires board approval.
R6 · Continuity review	AI Product Owner	AI Office or AI Auditor	R6 body	If there are indications that the actual level differs from the confirmed level, G7 is brought forward.
Phase 7 · Actual ambition	AI Product Owner, with data from T12	AI Office (Lite) or AI Auditor (Enterprise)	G7 body	Scaling an initiative with an actual ambition of Transform requires board approval.

No one verifies or decides on the classification of their own initiative (document 01, section 7.4).

3.6 What to do if the actual ambition differs from the declared ambition

Situation	Action	Owner
Actual lower than confirmed	1) Record the change as an event with its reason. 2) Recalculate the heat map and the index. 3) Analyse the cause: initial overstatement, incomplete execution or change of scope. 4) At G7, choose between Iterate to reach the confirmed level, with a new time limit and investment cap, or accept the actual level and assess continuity against the criteria for that level (for example, materialised savings if it moves to Optimise). 5) Review whether Enterprise intensity is still justified by another criterion. 6) Record the lessons learned.	G7 body; if the confirmed ambition was Transform, the board is informed at the next C4 session.
Actual higher than confirmed	It is treated as a new classification: the criteria and approvals for the new level are applied before scaling. If it reaches Transform, board approval is required and Enterprise applies.	G7 body; the board if it reaches Transform.
Operating as Transform without approval	If the initiative has already introduced changes typical of Transform without board approval, a major nonconformity is raised and regularised within the time limit approved in C2.	AI Committee.
Classification without answers or without evidence	Minor nonconformity , which must be corrected before the next <i>gate</i> .	AI Office.
Classification modified to circumvent a control or an approval	Major nonconformity .	AI Committee.

The difference between confirmed and actual ambition **is not in itself a nonconformity**: bets may not pay off. What is controlled is how often this happens:

Ambition overstatement rate = initiatives with actual ambition lower than confirmed ÷ initiatives with recorded actual ambition × 100, over the last 24 months.

Value (to be calibrated)	Action
30% or more across the portfolio as a whole	Alert to the AI Committee and review of the quality of classification in phase 2.
50% or more among initiatives confirmed as Transform	The board is informed and it is taken into account when reading the profile (section 5.3).

3.7 Impact reach (IM1–IM4)

The five questions in section 3.1 also say **what** each initiative **affects**. That reading is summarised in four reach levels, with no new questions, and it is the third lens of maturity (11 §7.6). It applies to initiatives in use and only with verified answers (section 3.4): an answer without evidence counts as "no".

Level	Reach	Condition	Typical ambition
IM1	Task	Improves a task within a process that does not change (none of the following conditions)	Optimise
IM2	Process	IT-P2 = yes: the process is redesigned end to end	Optimise or Augment
IM3	People and organisation	IT-P3 = yes: roles, structure or who takes which decisions change	Augment or Transform
IM4	Business model	IT-P1 or IT-P4 = yes: the value proposition to the customer changes or there are new revenues, services or markets	Transform

The highest level whose condition is met is assigned. At company level, the **distribution** of initiatives in use by level is shown alongside the index profile (section 5): this shows, without a new number, whether AI only improves tasks, whether it already redesigns processes, whether it changes people's work or whether it touches the business model. The typical ambition is indicative: the level is given by the answers, not by the ambition label.

Why it matters. "Optimise" and "Transform" are labels that are declared; impact reach comes from what has actually changed. A portfolio with every initiative at IM1 is not transforming the company, even if the thesis says so, and an initiative at IM3 without a people plan is an alert (11 §7.6).

04

Company transformation index

4.1 Structure

The index is made up of **eight** observable **signals**. Each signal is scored from **0 to 3**:

Score	General meaning
0	No data, or an exploration situation (there is not enough portfolio, production or recording to measure).
1	Efficiency reading.
2	Intermediate reading.
3	Transformation reading.

The **sum** (0 to 24) is shown for reference, but **the profile is not assigned by the sum**; it is assigned with the rules in section 5, which combine specific signals and baseline conditions. A measured value that turns out to be zero (for example, 0% of enabled revenue) scores **1**, not 0: it has been measured and its reading is one of efficiency.

4.2 Scope and common calculation rules

Aspect	Rule
Initiatives included	All those in the initiative register (T01) whose primary sphere is 01 to 07. Those with primary sphere 08 or 09 are excluded from signals 1, 2 and 7 and reported separately as investment in governance and compliance enablement (document 10, section 4.2).
Corporate use of general-purpose AI	Its cost counts in signal 1 as Optimise , unless it forms part of an initiative with a higher confirmed ambition and an approved adoption plan.
Ambition level used	Actual if it exists; otherwise, confirmed. Initiatives with only a proposed ambition are counted as unclassified .
Window	Rolling twelve months up to the cut-off date, except for signal 7 (twenty-four months).
Status of amounts	The value signals (2, 3 and 6) use only validated amounts.
Currency and cost	"Portfolio cost" = build investment executed in the window + recurring cost for the window, according to the categories in document 42.

4.3 Baseline conditions

Three conditions that are not scored but are required by the profiles:

Code	Condition	Formula	Initial threshold (to be calibrated)
B1	Governed portfolio	Active initiatives with phase, recorded <i>gates</i> and confirmed ambition ÷ active initiatives × 100	80% or more
B2	Proportion of validated value	Validated realised value ÷ total realised value (validated + declared + estimated) × 100	50% or more
B3	Scale in production	Number of initiatives in spheres 01 to 07 in production	5 or more (adjustable to the size of the company in C2)

4.4 The eight signals

SIGNAL 1 · INVESTMENT MIX

What it measures	Weight of Augment and Transform bets in the portfolio cost.
Formula	IT-S1 = portfolio cost in Augment and Transform ÷ total portfolio cost × 100. The weight of Transform is also reported separately.
Source	T01: ambition level, primary sphere; T12 and T13: investment and recurring cost per initiative.
0	There is no registered portfolio, or more than 30% of the cost corresponds to unclassified initiatives.
1	Less than 20%.
2	From 20% to 40%, or 40% or more with Transform below 10%.
3	40% or more, with Transform at 10% or more.

SIGNAL 2 · VALUE MIX

What it measures	Proportion of validated value that comes from return as opposed to efficiencies.
Formula	IT-S2 = validated return ÷ (materialised validated efficiencies + validated return) × 100.
Source	T12: amounts by type (efficiency, return) with validated status. Released capacity does not count (measurement rule 3).
0	There is no validated value.

1	Less than 10%.
2	From 10% to 30%, or 30% or more coming from a single initiative.
3	30% or more, coming from at least two initiatives.

SIGNAL 3 · MATERIALISATION

What it measures	Released capacity that has been converted into an actual lower cost or explicitly reassigned.
Formula	$IT-S3 = (\text{materialised hours} + \text{reassigned hours}) \div \text{measured hours of released capacity} \times 100$. The reassigned proportion is reported separately.
Source	T12 (released capacity and materialised savings) and T20 (recorded reassignment with destination activity).
0	Released capacity is not measured.
1	Less than 30%.
2	30% or more, without meeting level 3.
3	60% or more, with reassigned hours equal to or greater than half of the converted hours.

SIGNAL 4 · DEPTH OF CHANGE

What it measures	Processes redesigned end to end as opposed to automated tasks.
Formula	$IT-S4 = \text{initiatives in production with IT-P2 = yes verified at G5 or G7} \div \text{initiatives in production} \times 100$.
Source	T01: answers to IT-P2 with verification status; T03: result of G5 and G7.
0	There are no initiatives in production, or the verification of IT-P2 is missing in more than 30% of them.
1	Less than 15%.
2	From 15% to 35%.
3	35% or more.

SIGNAL 5 · OPERATING MODEL

What it measures	Changes in roles, structure and the allocation of decisions between people and systems, with defined oversight.
Formula	$\text{IT-S5} = \frac{\text{initiatives in production with IT-P3 = yes verified and human oversight design verified (P17)}}{\text{initiatives in production}} \times 100.$
Source	T01: verified answers to IT-P3; P17 evidence; T20: redesigned roles; register of redesigned organisational units.
0	There are no initiatives in production.
1	Less than 10%.
2	From 10% to 25%, or 25% or more without any entire organisational unit redesigned.
3	25% or more, with at least one entire organisational unit redesigned.

A change in roles or in the allocation of decisions **without defined human oversight does not count** in this signal and is reported as an alert to the AI Committee.

SIGNAL 6 · AI-ENABLED REVENUE

What it measures	Weight in revenue of products, services or channels that would not exist without AI.
Formula	$\text{IT-S6} = \frac{\text{validated revenue from AI-enabled offerings in the window}}{\text{total company revenue in the window}} \times 100.$
Inclusion criterion	The offering passes the counterfactual test: without the AI system, the company could not provide it or could not do so on economically viable terms. Improvements in conversion or retention of the existing offering do not count here (they count in signal 2).
Source	Management control; T12 (return from new sales items flagged as AI-enabled offering); T01 (IT-P4 = yes verified).
0	It is not measured.
1	Less than 0.5%.
2	From 0.5% to 2%.
3	2% or more.

These thresholds depend heavily on sector and size. The company **may** adjust them in its first C2, declaring the adjustment.

SIGNAL 7 · PROGRESSION TO PRODUCTION

What it measures	Whether Augment and Transform bets reach production in a proportion and time comparable to the rest.
Formulas	Arrival rate of a group = initiatives that passed G2 in the last 24 months and reached G5 ÷ initiatives in the same group with an outcome (reached G5, were stopped or have been stalled for more than twice the sum of the reference time limits for phases 3 to 5). Relative conversion CR = arrival rate for Augment and Transform ÷ arrival rate for Optimise. Relative time TR = median days from G2 to G5 in Augment and Transform ÷ the same median in Optimise.
No basis for comparison	If there are no Optimise initiatives with an outcome, CR is replaced by the arrival rate for Augment and Transform ÷ 0.6, and TR by the actual median ÷ the sum of the reference time limits for phases 3 to 5 (document 03, section 3.6).
Source	T01 and T03: G2 and G5 dates, statuses, stop reasons, reference time limits.
0	There are no <i>gates</i> recorded in the window.
1	No Augment or Transform initiative has passed G2 in the window, or CR is below 0.5.
2	CR of 0.5 or more without meeting level 3, or fewer than three Augment or Transform initiatives with an outcome.
3	CR of 0.8 or more, TR of 2.0 or less and at least three Augment or Transform initiatives with an outcome.

SIGNAL 8 · BOARD DECISION

What it measures	Whether the board decides on, funds and oversees transformation bets explicitly and traceably.
Formula	Count, over the last 12 months, of Transform bets approved by the board, with investment cap per stage, number of recorded reviews and stage decisions.
Source	T18: recommendations and decisions register; T03: board approvals at G2 and G7; C2 decision document (T19).
0	There is no AI thesis approved by the board.
1	There is an approved thesis, but no Transform bet approved by the board in the window.

2	At least one Transform bet approved by the board and recorded.
3	At least one bet approved with an investment cap per stage, two or more board reviews recorded in the window and at least one milestone-based stage decision (proceed, pivot or stop).

4.5 Summary of initial thresholds

Initial thresholds, to be calibrated in C5.

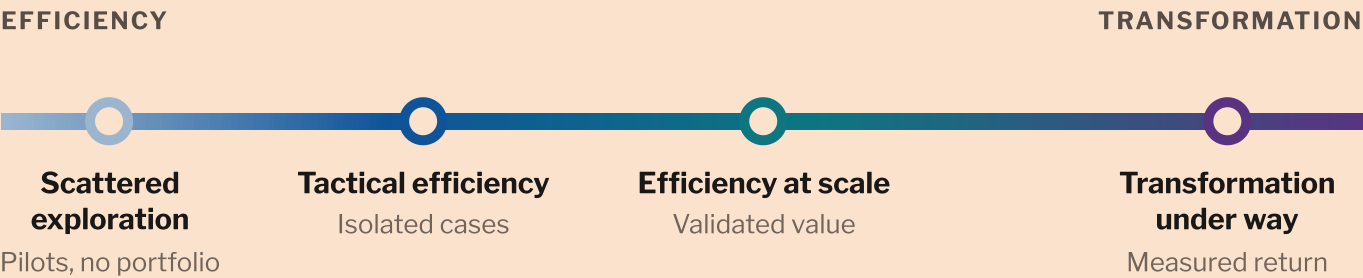
Signal	0	1	2	3
1 • Investment in Augment and Transform	No portfolio or > 30% unclassified	< 20%	20–40%	≥ 40% and Transform ≥ 10%
2 • Return within validated value	No validated value	< 10%	10–30%	≥ 30% and ≥ 2 initiatives
3 • Converted capacity	Not measured	< 30%	≥ 30%	≥ 60% and reassigned ≥ half
4 • End-to-end processes	No production	< 15%	15–35%	≥ 35%
5 • Change in operating model	No production	< 10%	10–25%	≥ 25% and one entire unit
6 • AI-enabled revenue	Not measured	< 0.5%	0.5–2%	≥ 2%
7 • Progression to production	No <i>gates</i>	CR < 0.5	CR ≥ 0.5	CR ≥ 0.8 and TR ≤ 2.0
8 • Board decision	No thesis	No bets	≥ 1 bet	Stages, reviews and stage decision

When a value coincides with the boundary between two bands, the higher band applies.

Profile assignment

Transformation index profiles

The company's position according to observable signals, not according to its discourse



Declared but unevidenced transformation

The discourse is one of transformation, but the signals show efficiency or exploration. It is the profile a board should be most interested in detecting.

Source: SEVEN-G

5.1 Transformation declaration

There is a **transformation declaration** (D = yes) when at least one of these conditions is met:

#	Condition	Evidence
IT-D1	The AI thesis approved in C2 sets Transform as the target ambition in at least one sphere.	C2 decision document (T19).
IT-D2	Initiatives with a confirmed ambition of Transform account for 10% or more of the portfolio cost.	T01, signal 1.
IT-D3	The strategic plan, reports to the board, the annual report or other company communications present AI as business transformation .	Documents cited, with date.

5.2 Assignment rules

The rules are applied in two steps.

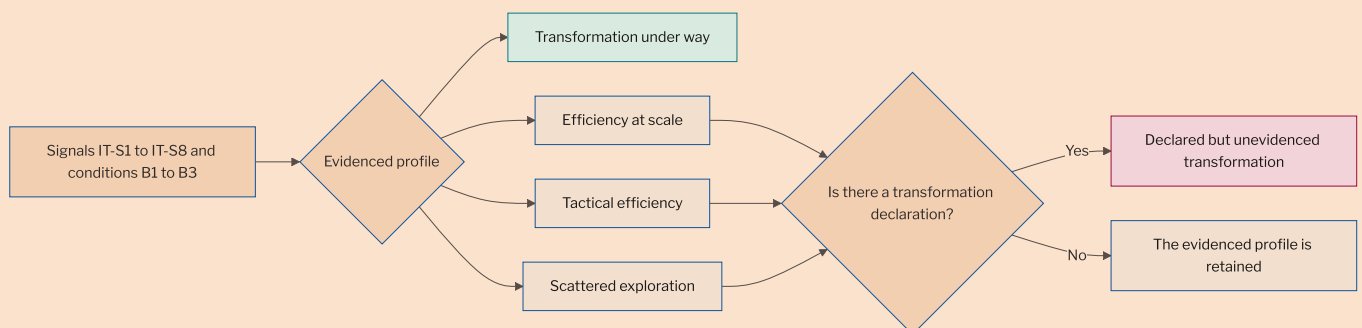
Step 1 • Evidenced profile. The conditions are assessed in order; the first profile whose conditions are all met is assigned.

Order	Evidenced profile	Conditions
1	Transformation under way	$B1 \text{ and } B2 \cdot IT-S8 \geq 2 \cdot IT-S7 \geq 2 \cdot IT-S2 \geq 2$ or $IT-S6 \geq 2 \cdot IT-S4 \geq 2$ or $IT-S5 \geq 2 \cdot \text{sum of signals} \geq 14$
2	Efficiency at scale	$B1, B2 \text{ and } B3 \cdot IT-S3 \geq 2$
3	Tactical efficiency	At least one initiative in production with measured value, in any status
4	Scattered exploration	None of the above

Step 2 • Cross-check against the declaration. If **D = yes** and the evidenced profile is **not** Transformation under way, the assigned profile is **Declared but unevidenced transformation**, and the evidenced profile is reported as the **underlying profile**. In any other case, the assigned profile is the evidenced profile.

Company profile assignment

First, what the signals show is calculated; then it is cross-checked against what is declared



Source: SEVEN-G

5.3 Complementary alerts

Alert	Condition	Reading
Fragile transformation	Transformation under way profile with an overstatement rate in Transform of 50% or more.	The bets are progressing, but most do not confirm their ambition at G7.
Unmaterialised efficiency	$IT-S1 = 1$ and $IT-S3 = 1$.	Efficiency portfolio whose savings do not reach the income statement.

Alert	Condition	Reading
Stuck bets	IT-S1 $\geq$ 2 and IT-S7 = 1.	There is investment in Augment and Transform, but it does not reach production.
Transformation without the board	IT-S2 $\geq$ 2 or IT-S6 $\geq$ 2, with IT-S8 $\leq$ 1.	There is real change that the board neither decides on nor oversees.
Change without oversight	Initiatives excluded from signal 5 for lack of defined human oversight.	Governance risk: decisions are delegated without control.

06

Treatment of "no data"

1. **"No data" scores 0 and is shown as "no data"**, never as a measured zero or as an estimate (measurement rule 8).
2. The **index coverage** is calculated = signals with data $\div$ 8. It is always shown alongside the profile.
3. If coverage is **below 6 out of 8**, the profile is still assigned but is marked as **provisional** and accompanied by a plan to obtain the missing data, with an owner and a time limit.
4. No "no data" signal is replaced by an estimate. If the company has a **declared** or **estimated** value for a signal that requires validated amounts, it may show it as contextual information, without a score.
5. Repeated lack of data for the same signal over two annual calculations is, in itself, a finding for C5 and for the maturity diagnosis (dimension D7, Measurement and evidence).

07

Frequency and owners

Calculation	When	Who calculates	Who reviews	Recipient
Formal	Annual, in C1 (first time) and in C5	AI Office with management control	Internal audit	Board
Monitoring	Quarterly, in C4	AI Office	AI Committee	Board dashboard (trend)
Extraordinary	After a reorganisation, a corporate transaction or a change of thesis	AI Office	AI Committee	Board

The quarterly calculation uses the same thresholds as the annual one and is presented as a trend. The official profile is the one from the formal calculation.

08

Calibration in C5

The initial thresholds have no empirical basis specific to the company. They are calibrated as follows:

Step	Activity	Owner
1	Gather at least four quarterly calculations or a complete annual cycle.	AI Office
2	Analyse the distribution of each signal, its sensitivity to small changes and the cases in which the profile contradicts the informed judgement of the committee.	AI Office with management control
3	Propose threshold adjustments, with signal-by-signal justification.	AI Committee
4	Check that the adjustment is not being proposed to improve the profile for the current year.	Internal audit
5	Approve the new version of the thresholds.	Board, in C5
6	Recalculate the previous period with the new thresholds and publish both results to maintain comparability.	AI Office
7	Record the version of the thresholds used in each calculation.	AI Office (T14; P35 §14)

Calibration rules:

- The thresholds **are not changed within the annual cycle**.
- The company **may** adjust thresholds, but **not** the structure of the signals or the profile assignment rules. A company that declares that it applies SEVEN-G must state any deviations from the thresholds in this document.
- Framework adjustments (for example, new reference thresholds) are incorporated into new versions of this document on the basis of application experience.

09

Complete illustrative example

Fictitious company. All data are illustrative and match the heat map example in document 10, section 8.2.

Context. Industrial company with €400M in annual revenue. It has 17 active initiatives in spheres 01 to 07 (14 Optimise, 2 Augment and 1 Transform) and 2 initiatives in the enablement band (spheres 08 and 09). Fourteen are in production: the 12 Optimise initiatives that have passed G5 and the 2 Augment initiatives. The Transform initiative (a new service in sphere 02) is in phase 5, with a commercial pilot. The AI thesis approved in C2 sets Transform as the target ambition for Product and service, and the strategic plan describes AI as a "transformation lever".

Baseline conditions

Condition	Data	Result
B1 • Governed portfolio	15 of 17 active initiatives with phase, <i>gates</i> and confirmed ambition = 88%	Met (≥ 80%)
B2 • Validated value	€1.96M validated out of €3.30M of realised value = 59%	Met (≥ 50%)
B3 • Scale	14 initiatives in production	Met (≥ 5)

Signals

Signal	Data	Calculation	Score
1 • Investment	Portfolio cost €4.00M: Optimise 3.00; Augment 0.70; Transform 0.30	$(0.70 + 0.30) \div 4.00 = 25\%$; Transform 7.5%	2
2 • Value	Materialised validated efficiencies €1.80M; validated return €0.16M (0.12 from an Augment initiative in Customer and 0.04 from the Transform pilot)	$0.16 \div 1.96 = 8.2\%$	1
3 • Materialisation	60,000 h released; 9,000 h materialised; 12,000 h reassigned	$21,000 \div 60,000 = 35\%$	2
4 • Depth	2 of 14 initiatives in production with IT-P2 verified	14.3%	1
5 • Operating model	1 of 14 with IT-P3 and oversight verified; no entire unit	7.1%	1
6 • Enabled revenue	€0.04M validated from the commercial pilot out of €400M	0.01%	1
7 • Progression to production	Augment and Transform: 5 with an outcome, 2 in production (40%). Optimise: 14 with an outcome, 10 in production (71%). G2→G5 medians: 230 and 120 days	$CR = 0.40 \div 0.71 = 0.56$; $TR = 1.9$	2
8 • Board	Approved thesis; one Transform bet approved with a cap per stage; a single review recorded in 12 months	Meets level 2, not level 3	2
Sum			12 out of 24

Index coverage: 8 out of 8 signals with data.

Step 1 • Evidenced profile

Profile	Check	Result
Transformation under way	B1 and B2 yes · IT-S8 = 2 yes · IT-S7 = 2 yes · IT-S2 or IT-S6 ≥ 2: no (1 and 1) · IT-S4 or IT-S5 ≥ 2: no (1 and 1) · sum ≥ 14: no (12)	Not met
Efficiency at scale	B1, B2 and B3 yes · IT-S3 = 2 yes	Met

Step 2 • Cross-check. IT-D1 (thesis with Transform in sphere 02) and IT-D3 (strategic plan) are met: D = yes. The evidenced profile is not Transformation under way.

Assigned profile: Declared but unevidenced transformation. Underlying profile: Efficiency at scale.

Complementary alerts: none of those in section 5.3 is triggered. The overstatement rate cannot yet be calculated for Transform (no initiative with recorded actual ambition).

Message to the board (document 60 format): *"Not yet, because evidence of return and of change in processes and roles is missing. The company governs an efficiency portfolio with validated value well, but the declared transformation rests on a single bet at pilot stage. To evidence transformation, the following would be needed as a minimum: validated return of at least €0.20M or enabled revenue of at least €2M; at least three processes redesigned end to end in production; and quarterly review of the bet by the board."*

10

Presentation to the board

The index is always presented with three elements:

Element	Content
Profile	Assigned profile, underlying profile if applicable, provisional status if coverage is insufficient, and version of the thresholds.
Signals table	For each signal: measured value, score, trend compared with the previous calculation and explicit "no data".
What would move the profile	The two or three specific conditions whose fulfilment would change the profile, with proposed owner and time limit.

The index is not presented as a grade, nor is it compared with other companies (section 11).

Limitations

Limitation	Consequence	Mitigation
The initial thresholds do not come from empirical data.	The profile may be sensitive to small changes near the boundaries.	Calibration in C5; publication of the measured value alongside the score.
It depends on the quality of the ambition classification.	An inflated classification distorts signals 1 and 7.	Independent verification at G2 and G7; overstatement rate; signals 2, 4, 5 and 6 based on evidence.
It does not measure the absolute value or the profitability of AI.	A transformation profile does not imply that the portfolio is profitable.	It is read alongside annual net value and additional net value per euro (document 40).
It is not comparable across sectors or between companies of very different size.	Misuse as a market ranking.	It is used only to track the company's own evolution.
It is a lagging indicator.	Transformation decisions take time to be reflected in signals 2, 5 and 6.	Quarterly trend reading; signal 8 is a leading indicator.
With few initiatives, percentages are volatile.	A single initiative changes a score.	Condition B3, minimum counts in signals 2 and 7, provisional profile.
It only observes transformation associated with AI.	A company may transform through other routes.	The index does not claim to measure the company's overall transformation.
It does not replace the maturity diagnosis.	Profile and maturity may diverge.	They are presented together in C1 and C5 (document 11).

Associated tools and templates

Code	Name	Use in this document
T01	Initiative register	Fields: answers IT-P1–IT-P5 with evidence and verification status; proposed, confirmed and actual ambition with date and reason; primary sphere; <i>gate</i> dates; statuses; stop reasons; origin of the initiative. From schema 0.5: verification of IT-P2 and IT-P3 at a <i>gate</i> with verified human oversight, entire unit redesigned, released, materialised and reassigned capacity, AI-enabled offering in the amounts, and company total revenue and IT-D3.
T03	Gate manager	Verification of the classification at G2 and G7; board approvals.
T05	Ambition classifier	Applies the five questions and rules 1 to 10; records the result and inconsistencies.
T12	Value realisation tracking	Amounts by type and status; released and materialised capacity; AI-enabled revenue.
T13	Cost calculator per use case	Investment and recurring cost of each initiative (signal 1).
T14	Transformation index calculator	Calculates baseline conditions, signals, profile, alerts, coverage, what would move the profile and evolution; retains the threshold version. It starts from the T01 register JSON: with schema 0.5 it calculates from it the eight signals and conditions IT-D1 and IT-D3; whatever the register does not contain is completed manually. It exports its result for the board dashboard.
T17	Board AI dashboard	"Company transformation index" card in "Portfolio and value": profile, baseline conditions, signals, trend, alerts and what would move the profile, from the result exported by T14.
T18	Board recommendations register	"Board (T18)" view of the T01 register: board decisions (thesis, Transform bets with a cap per stage, reviews and stage decisions) are the source of signal 8 and IT-D1.
T19	AI thesis and risk appetite template	C2 decision document: approved thesis (signal 8) and target ambition by sphere (condition IT-D1).
T20	Adoption and capacity plan	Reassigned hours and redesigned roles (signals 3 and 5).
P07	Sphere and ambition classification	Evidence of the classification in phases 1, 2 and 7.

Related documents

Document	Relationship
00 · What SEVEN-G is and how it helps companies	Section 5, which this document develops; measurement rules.
01 · Foundational methodology	<i>Gate</i> criteria by ambition level, board approval for Transform, intensity.
03 · Tools and initiative register	Fields, events, funnel metrics and reference time limits used in the signals.
10 · Sphere map and ambition levels	Definition of the levels and spheres, and exclusion of 08 and 09.
11 · Maturity model	Complementary diagnosis in C1 and C5.
13 · AI thesis, ambition and risk appetite	Ambition declaration (condition IT-D1), target portfolio balance and threshold B3.
14 · Portfolio management	Use of signals 1 and 7 to balance the portfolio.
40 · Value measurement rules and 43 · Benefits realisation	Value statuses, released capacity and attribution.
60 · Board pack and 62 · Recommendations and decisions register	Presentation of the index and source for signal 8.

Version control

Version	Date	Changes
0.1	16-09-2026	First version. Defines the ambition classification rules (five questions, ten rules, borderline cases, proposed, confirmed and actual statuses, discrepancies and overstatement rate); the eight signals with formula, source and initial thresholds to be calibrated; the baseline conditions; the profile assignment rules with detection of declared but unevidenced transformation; the treatment of "no data"; calibration in C5; and a complete example.
0.2	28-09-2026	Adds impact reach IM1–IM4 (section 3.7), derived from the verified questions IT-P1 to IT-P4, as the third lens of maturity (11 §7.6).